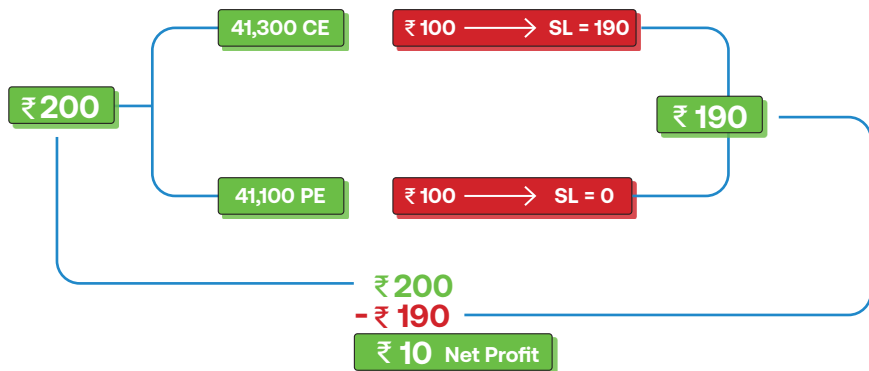


For example, if the premium is ₹100, the initial stoploss would be ₹90 (Sell price- ₹100, Stoploss- ₹190). This ensures that even if the stoploss is triggered, the overall strategy remains profitable due to the initial premium received.



EXIT STRATEGY



The Expiry Decay Strategy is designed to be held until the expiry day. However, it is recommended to exit the strategy at 9:55 a.m. on the expiry day instead of waiting for the expiry time. This decision is based on the observation that although there is rapid premium decay on the expiry day, there can also be high Gamma moves that pose a risk.

By exiting at 9:55 a.m., we can still benefit from the initial premium decay while avoiding potential adverse Gamma moves. Typically, the exit price will not reach zero, but rather a small amount, such as ₹15, resulting in a break-even or near-break-even outcome for the week.

